

of the powerful overbought condition achieved by the S&P Composite index in 1983, as measured by its annual rate of change. That indicator is created by computing the percentage difference between the S&P Composite's average daily closing price for each month and that of twelve months prior.

In August 1983, the bull market was one year old and had continued higher despite its relentless near term overbought condition. The persistence of the trend produced the most extreme overbought condition in the 1-year rate of change since 1943. *The Elliott Wave Theorist* concluded, "August 1982 marked the start of something more than what has come to be regarded as the norm, a two-year bull market followed by a two-year bear. The highest overbought condition in forty years signals that our Elliott Wave forecast for the launching of wave V is right on target." (See the full analysis in Appendix A of *Elliott Wave Principle*.) Figure 9-3 is labeled exactly as shown then except that it is updated to today.

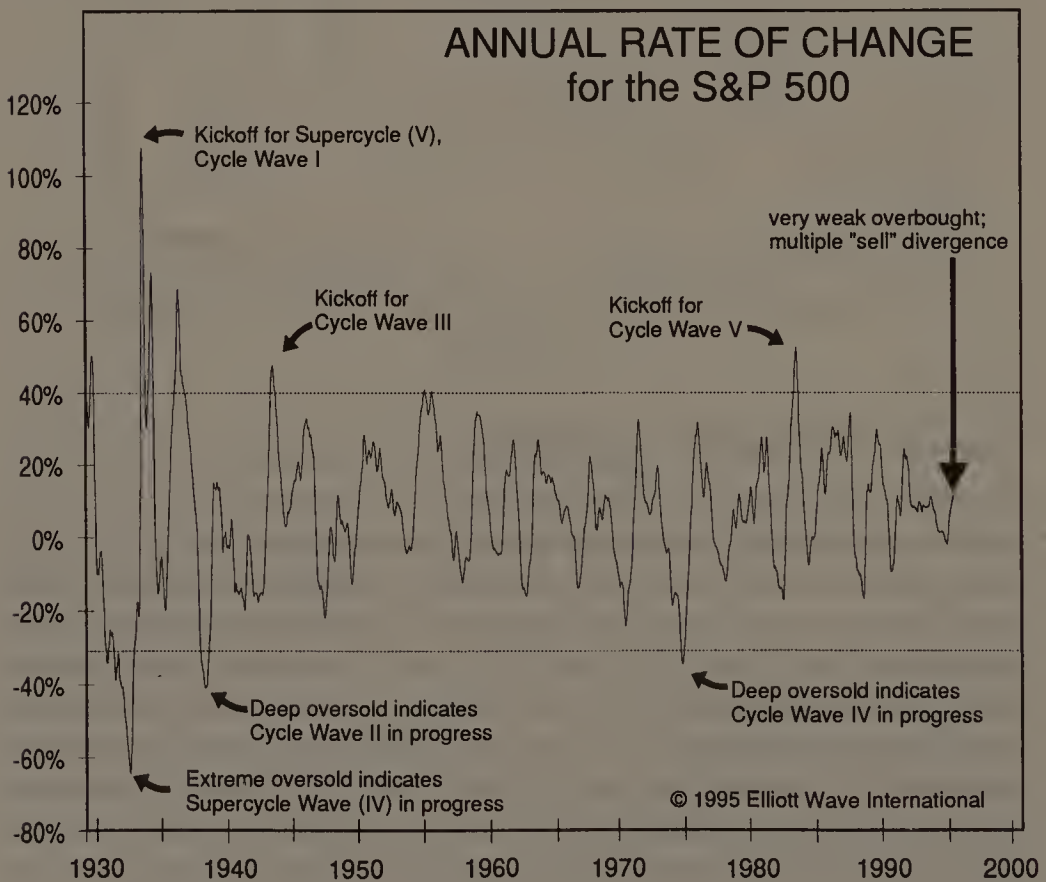


Figure 9-3